Country Compliance Report:

Canada

Information class: Restricted

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Canada, which will be used throughout the whole document.

Term	Explanation
CRA	The 'Canada Revenue Agency' administers tax laws for the Government of Canada and for most provinces and territories, and administers various social and economic benefit and incentive programs delivered through the tax system.
GST	'Goods and Services Tax' is a tax that applies to most supplies of goods and services made in Canada. The GST also applies to many supplies of real property and intangible personal property.
HST	'Harmonized Sales Tax'. The participating provinces harmonized their GST with the provincial sales tax to implement the HST in those provinces. Generally, the HST applies to the same base of property (for example, goods) and services as the GST.
Post Audit	A model where the Trading Partners are allowed to exchange e-invoices and perform obligations without a requirement for prior clearance of such issuance or other actions with the (tax) authorities. Instead, transactions are reported to the authorities after they have taken place.
PST	Provincial Sales Tax
QST	Quebec Sales Tax (*TVQ – Taxe du vente in French*). It is the name of the Provincial sales Tax (PST) in Quebec.
Rectification document	A rectifying invoice is a document that details some corrections in the ordinary invoice or the return of the merchandise. This invoice must be issued in case the original invoice does not comply with the requirements established by the current law

2. General overview

This section provides an initial introduction into the local e-Invoicing environment within Canada, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Canada Revenue Agency (CRA) • Revenu Québec
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Excise Tax Act (ETA) • Input Tax Credit Information (GST/HST) Regulations (SOR/2000-180) • Credit and Debit Note (GST/HST) Information Regulations (SOR/2000-179) • Electronic Record Keeping (IC05-1R1)

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed. If electronic invoicing is used, the general rules pertaining to invoices under the legislation must be followed.
Varying invoicing regimes[1]	• Single invoicing regime
e-Invoicing model	• Post Audit
e-Invoice definition[2]	• An electronic invoice is defined as an invoice which is sent and received through any electronic format
Scope of taxpayers the e-document mandate applies to	• No explicit requirements
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• N.a

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

4. Before switching to e-invoices

4.1. GST/HST registration

Every person who makes taxable supplies (other than zero-rated) of goods or services in or imported into Canada is required to register for GST/HST[3] purposes.

Exemption from registration. The following are activities that are exceptions from requiring to register for GST/HST purposes:

- The person qualifies as a “small supplier” i.e. whose annual worldwide taxable and zero-rated supplies were less than CAD 30,000 in the four preceding calendar quarters.
- The person’s only commercial activity is the supply of real estate by way of sale other than in the course of a business.
- The person is a non-resident who does not carry on any business in Canada

As of July 1, 2021, Cross-Border digital products and services are obligated to register GST/HST if the threshold amount of applicable revenues exceeds CAD 30,000 over any 12-month period beginning on or after that date.

This applies to non-resident vendors who:

- are not registered for the GST/HST under the normal GST/HST regime and not carrying on business in Canada, and
- sell taxable digital products and services, such as online music streaming or traditional services, to Canadian consumers and other Canadian entities who are not registered under the normal GST/HST regime

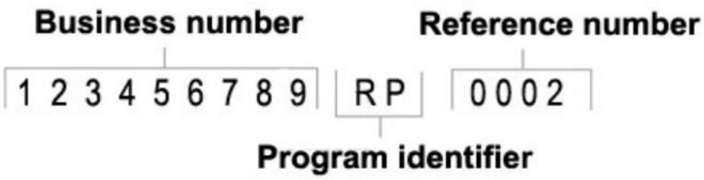
It also applies to non-resident distribution platform operators who are not registered for the GST/HST under the normal GST/HST regime and not carrying on business in Canada, and who make or facilitate such supplies through their platform.

[3] If the business is registered for the GST, it is also registered for the HST. However, business is in Quebec and other provinces applying PST would have to be registered for QST / PST registration number. Some provinces exempt farmers, municipalities, and certain businesses from paying the provincial sales tax. However, these provincial exemptions do not apply to the GST/HST.

Please note that the exception stated above are not an exhaustive list of circumstances requiring local IT[4] registration.

The GST Number in Canada is composed of three parts:

1. **Business Number (BN)**: 9-digit business number which is the standard identifier for businesses. It is unique to a business or legal entity
2. **Program Identifier**: composed of 2 letters to identify the CRA program account (see table below)
3. **Reference Number**: a 4-digit reference number to identify an individual CRA program account (since businesses can have more than one of the same kind)



Below is a list of the program identifiers for which a business can register for.

Program Identifiers	Name	Description
RT	GST/HST	If your business collects GST/HST
RP	Payroll Deductions	If your business pays employees
RC	Corporate income tax	If your business is incorporated
RM	Import/Export	If your business imports goods or sells goods or services abroad
RZ	Information returns	If your business files information returns such as tax-free savings account (TFSA), T5, T5013, and more
CT	Fuel charge	For businesses that need to include a fuel charge on products
RD	Excise duty	For businesses that need to charge excise duty on products
RE	Excise tax and special levies	For businesses that need to charge excise tax on products
RG	Air traveller's security charge	For air carriers that charge the air travellers security charge
RN	Insurance premium tax	For brokers and agents who place contracts of insurance
RR	Registered charity	For charity organizations

A business is not required to register for all of the programs, only the ones which pertain to the business. There may also be situations where a company would want to have more than one account for a particular program, if, for example, the company has two businesses and wants to separate the GST accounts.

Thus, a business may have several GST numbers. The business number will remain the same, while the program and account may vary. The GST number is required

[4] Indirect Tax

when communicating with the Government of Canada in relation to the particular program. The business number is what is required to be shown on an invoice.

4.2. QST registration

Taxpayers must register for the QST if they are registered or are applying to register for the GST. If taxpayers carry out any of the following activities in Québec, they must register for QST (regardless they are registered for the GST), and even if they are a small supplier:

- Sell tobacco at retail
- Sell fuel at retail
- Sell alcoholic beverages (unless you hold a reunion permit)
- Sell or lease new tires
- Sell or lease new or used road vehicles, other than a road vehicle that is your capital property, for a period of 12 months or more

QST Number Format

In Quebec, Revenu Québec generally administers the GST. If the physical location of your business is in Quebec, you have to file your returns with Revenu Québec using its forms, unless you are a person that is a selected listed financial institution (SLFI) for GST/HST or QST purposes or both.

QST Numbers are for businesses that collect tax on certain taxable supplies made in Quebec. The QST registration number has 16 characters: ten digits, followed by the letters TQ and four registration numbers.

The six last characters are notably used to identify divisions of a given corporation. In Practice TQ0001 is most used.

Similar to GST numbers, QST numbers are used to communicate with Renenu Québec, while the business number is what should be included on invoices.

4.3. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• Buyer's consent is required • May be implicit but upon request from CRA the prior consent has to be proven, by any means
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit requirements

4.4. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• An explicit agreement is strongly recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No content requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements

4.5. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Canada has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• No mandated formats
Other document format(s) commonly used for exchange between trading parties	• PDF, XML, Word
Mandated platform(s) required to have connection with for e-document processing	• N.a
Other platform(s) relevant for e-document processing	• N.a
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• N.a
Other technical aspects	• N.a

5.2. Communication with Mandatory Infrastructure

There is no mandatory infrastructure in Canada.

However, for all Government of Canada tenders can be found from Buyandsell.gc.ca. Please refer to the section 10.1 further.

Communication options	Commentary
Automated	• N.a
Manual	• N.a
Other options	• N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to business-related preferences
(2) The key requirements are to ensure the Canada-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Canada has no explicit requirement or provision of cross border e-invoicing.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to business-related preferences
(2) The key requirements are to ensure the Canada-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

Canada has no explicit requirement or provision of cross border e-invoicing.

5.5. AoR (response) process

In Canada, there are no explicit requirements.

5.6. Mandatory Infrastructure validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In Canada, there is no mandatory infrastructure conducting validations.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There are no explicit requirements on marking duplicate or copies of invoices in Canada.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax

Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

There are no specific guidelines in Canada. The trading parties are free to agree on the exchange mechanism and format for invoice and e-invoices alike.

Item	Commentary
Push communication	• No explicit requirements
Pull communication	• No explicit requirements
E-mail distribution	• Allowed
Webportal[5]	• No explicit requirements
Scanning inbound invoices	• Allowed
Scanning outbound invoicing	• Allowed

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note/debit note • The supplier has up to two years after the day on which the excess amount was charged but not collected to adjust the amount of tax charged, or if the excess amount was collected, two years after the day on which it was collected to refund or credit the excess tax.
What are the options to correct an invoice if the customer returns the goods	• Credit note/debit note • The supplier has up to four years after the end of the reporting period in which the consideration was reduced to adjust the amount of tax charged or to refund or credit the tax collected to the recipient.

[5] Note, however, that prior to using and external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

What are the options to correct an invoice if the customer paid too much	• Credit note/Debit note • The supplier has up to four years after the end of the reporting period in which the consideration was reduced to adjust the amount of tax charged or to refund or credit the tax collected to the recipient.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note/Debit note • The supplier has up to four years after the end of the reporting period in which the consideration was reduced to adjust the amount of tax charged or to refund or credit the tax collected to the recipient.
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Other • If the documentary requirements for claiming ITCs/ITRs (input credits) are not met per the invoice alone, then they may nonetheless be met if contained in another document (e.g., the agreement governing the supply or any document validly issued by a registrant).
Other scenarios with different correction option	• Purchaser/recipient may claim a rebate from the CRA (e.g., tax paid in error)
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier • Buyer may issue a 'debit note
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No • Unless the agreement governing the supply specifies that GST/HST is payable upon the issuance of a "waiting" document/interim document.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• No explicit requirements
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• No explicit requirements
Whether any conditions apply, and which, to the dematerialisation	• No explicit requirements
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e.	• No explicit requirements

destruction of the original electronic document, for processing and/or archiving	
Whether any conditions apply, and which, to the materialisation	• No explicit requirements

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

Currently, there are no regulations in Canada regarding contingency scenarios.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• **Complete invoice:** The total amount payable is equal to or exceeds CAD 500 • **Reduced invoice:** The total amount payable is equal to or exceeds CAD 100 but less than CAD 500 • **Simplified invoice:** The total amount payable is less than CAD 100 • **Credit / debit note**
Documents mandatory for issuance by buyer	• No mandatory documents

Item	Commentary
Self-billing allowed	• Yes • Only if the recipient provides the supplier with the prescribed information that the supplier would otherwise have the obligation to indicate on its invoice.
Simplified invoice allowed	• Yes

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• No, but recommended

Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• No
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• No

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

There is no additional document numbering in Canada.

6.3. Indirect tax (IT)[6] rates

This section illustrates the applied IT[7] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates.

- Canadian indirect tax is called Goods & Services Tax (GST) and applies on the federal level and across Provinces. The GST rules broadly follow the European Union and OECD VAT models.
  - The federal GST is levied by CRA, and the tax code is contained within the Excise Acts.
  - Quebec's GST is under the control of the local Revenue Quebec, which also controls QST.
- Some Provinces – British Columbia, Manitoba and Saskatchewan – additionally levy a separate Provincial Sales Tax (PST). In Quebec, the provincial sales tax is called QST Quebec sales Tax.
- When it comes to HST – Harmonized Sales Tax – it is a goods and sales tax applied by certain provinces, where the GST has been combined (harmonized) with the provincial sales taxes.

[6] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[7] Local name "Good and Service Tax", "Harmonized Sales Tax", "Provincial Sales Tax", "Quebec Sales Tax (TVQ)"

IT rates that differ between different administrative units are clearly outlined.

Province	Type	PST	GST	HST	Total Tax Rate [8]
Alberta	GST		5%		5%
British Columbia (BC)	GST+PST	7%	5%		12%
Manitoba	GST+PST	7%	5%		12%
New Brunswick	HST			15%	15%
Newfoundland and Labrador	HST			15%	15%
Northwest Territories	GST		5%		5%
Nova Scotia	HST			15%	15%
Nunavut	GST		5%		5%
Ontario	HST			13%	13%
Prince Edward Island (PEI)	HST			15%	15 %
Québec	GST+QST	9.975%	5%		14.975%
Saskatchewan	GST+PST	6%	5%		11%
Yukon	GST		5%		5%

6.3.1. Tax Status

In addition to stating the applicable tax rate applied, it is important to state the tax status of supplies. More information can be found in RC4022.

Taxable not zero-rated supplies	Taxable zero-rated supplies	Exempt supplies
Most goods and services purchased in or brought into Canada	Some supplies are zero-rated: GST/HST applies at a rate of 0%.	Some supplies are exempt: no GST/HST applies to them.
The taxpayer should charge standard GST/HST rates on such supplies, and is eligible to claim input tax credits	The taxpayer may not charge GST/HST on such supplies, but is eligible to claim input tax credits	The taxpayer may not charge GST/HST on these supplies, and generally not entitled to claim input tax
The following are examples of taxable (not zero-rated) supplies:	*The following are examples of zero-rated supplies (tax rate 0%):*	*The following are examples of exempt supplies:*
• sales of new housing; • sales and rentals of commercial property; • sales and leases of automobiles; • car repairs; • soft drinks, candies , and potato chips; • clothing and footwear,	• basic groceries such as milk, bread, and vegetables; • agricultural products such as grain, raw wool, and dried tobacco leaves; • most farm livestock,	• a sale of housing that was last used by an individual as a place of residence; • long-term rentals of residential accommodation (of one month or more)

[8] Note that 0% tax rate applies to certain type of goods and services depending on their tax status.

• advertising (unless provided to a non-resident of Canada who is not registered for the GST/HST); • taxi or commercial ride-sharing services; • legal and accounting services; • franchises; • hotel accommodation; • barber and hairstylist services.	• most fishery products such as fish for human consumption; • prescription drugs and drug-dispensing services; • certain medical devices such as hearing aids and artificial teeth; • feminine hygiene products; • exports (most goods and services for which you charge and collect the GST/HST in Canada, are zero-rated when exported); • many transportation services where the origin or destination is outside Canada.	and residential condominium fees; • most health, medical, and dental services performed by licensed physicians or dentists for medical reasons; • child care services, where the primary purpose is to provide care and supervision to children 14 years of age or under for periods of less than 24 hours per day; • most domestic ferry services; • legal aid services; • educational services • music lessons; • most services provided by financial institutions such as lending money or operating deposit accounts; • the issuance of insurance policies by an insurer and the arranging for the issuance of insurance policies by insurance agents; • most property and services provided by charities and public institutions; • certain property and services provided by governments, non-profit organizations, municipalities, and other public service bodies including municipal transit services and standard residential services such as water distribution.

Where the status of two or more supplies on the same invoice is different, an indication of the status of each supply: “Taxable not zero-rated”, “Taxable zero-rated” and “Exempt”.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Canada. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended • For credit/debit notes, the word "credit note" or "debit note" have to appear on the document.
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Yes • Invoice must be issued in one of the official languages English or French. French language is required on the invoice if the supplier is carrying on business in Quebec or has an establishment in Quebec and the customer is also located in Quebec
Sequential numbering	• No, but recommended
Required to mention copy or duplicate in case a copy is issued	• No, but recommended
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes • It can also be the name of an intermediary or the name under which the supplier or the intermediary does business.
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, if listed in the trade register
Full address of the supplier in country of establishment	• No, but recommended
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, when the total amount of sale is 100 CAD or more, company’s business number should be shown
IT identification number of the supplier in the country of establishment	• Yes

	• Supplier's or Intermediary's GST/QST business number, and often QST/PST as well, i.e. two fields
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No
Legal form of the supplier	• No
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No
Other supplier data	• N.a.

Customer data	
Full legal name of the customer	• Yes • Invoices above CAD 500 have to include the recipient's name or trading name or the name of their authorized agent or representative
Allowed to abbreviate or shorten the legal name of the customer	• Yes, if listed in the trade register
Address of the customer in country of establishment	• No, but recommended
Bill-to address when it is different from the registered address of the customer	• No, but recommended
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• No • The supplier's GST/HST registration number should appear on invoices. Not the customer's.
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes • If invoicing on behalf of another person and reporting/remitting the GST/HST on its GST/HST returns instead of the other person.

Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Yes, when there is no invoice issued date, the date on which the GST or QST were paid or payable
Date of prepayment	• No, but recommended
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No, but recommended
Shipped from location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Shipped to location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Status of the goods (e.g. in bond, in free circulation)	• No
Incoterms	• No, but recommended
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• N.a.

Financial data	
Taxable base per item (unit price excl. IT)	• Yes, if the total amount of sales is CAD 100 or more and the status of two or more supplies is different, an indication of the status of each taxable supply that is not a zero-rated supply is required.
Total taxable base per IT rate or exemption	• Yes • An indication of the total amount of GST/HST charged or that the amount paid or payable for each taxable supply (other than zero-rated supplies) includes the GST/HST at the applicable rate
IT rate applied	• Yes • If the amount invoiced includes the tax, the invoice needs to mention it and indicate the tax rate applied.
Total IT amount calculated per rate	• No, but recommended
Total IT amount payable	• Yes

	• When both the GST and the QST are included in the amount of tax, taxpayers must show the amount of tax for each taxable supply and specify that the amount includes both the GST and the QST.
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Yes • If an invoice is issued in a foreign currency, it must be converted to Canadian dollars (CAD) for reporting purposes.
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• Yes
Which exchange rate must be applied in order of priority	• Acceptable exchange rates include those established by a Canadian chartered bank, the Bank of Canada or the Canada Border Services Agency. • The method of conversion chosen must be applied on a consistent basis.
Terms of payment	• -Yes
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No
List the required references in case of exemption or reverse charge	• N.a.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT	• No

Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No explicit requirements
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• N.a.

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

	Simplified	Reduced
Possible to issue simplified invoices for certain supplies	• Yes	• Yes
Maximum amount for simplified invoices	• CAD 100	• CAD 499,99
Other supplies for which a simplified invoice can be issued	• No	• No
Simplified invoices limited to certain type of supplies	• No	• No

Simplified invoices not allowed for certain transactions	• No	• No
Minimum content requirements on a simplified invoice	• Supplier's business or trading name, or an intermediary's name • Date of issue (if no invoice is issued, the date on which the tax is paid or becomes payable) • Total amount paid or payable (taxes included) • If PST is charged, either separate or on a tax-included basis, the name of the PST province • The description of property or service (QST only)	In addition to what is required to be specified on the simplified invoice. • An indication of the total amount of GST/HST charged or that the amount paid or payable for each taxable supply (other than zero-rated supplies) includes the GST/HST at the applicable rate • An indication of which items are taxed at the GST rate and which are taxed at the HST rate The supplier's business number (BN) or an intermediary's BN
Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by an established supplier that are taxable in Canada, Invoices issued by a non-established supplier on which VAT is due by the supplier	• Invoices issued by an established supplier that are taxable in Canada, Invoices issued by a non-established supplier on which VAT is due by the supplier
(other) Invoices subject to the national invoice requirements (not self-bills)	• The documentary requirements for claiming ITCs/ITRs (input credits) may be contained in an invoice or other document (e.g., agreement).	• The documentary requirements for claiming ITCs/ITRs (input credits) may be contained in an invoice or other document (e.g., agreement).

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Canada, credit note and debit note must be issued as rectification documents. A Credit note/debit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes • The supplier has up to two years after the day on which the excess amount was charged but not collected to adjust the

	amount of tax charged, or if the excess amount was collected, two years after the day on which it was collected to refund or credit the excess tax.
Reference to original invoice required on a credit note	• Invoice number and date
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes, one of the following: o The amount of the adjustment, credit or refund, o A statement specifying that the total amount includes the tax adjustment, credit or refund, and also providing the tax rate applicable to each good or service and the reduction applicable to all goods or services or to each good or service.
Reason for credit required	• No, but recommended
Mandatory information in credit note and debit note	• A statement or other indication that the document is a credit or debit note • The name of the supplier or an intermediary in respect of the supply, or the name under which the supplier or the intermediary does business, and the registration number of the supplier or the intermediary • The name of the recipient or name of the recipient's business or the name of the recipient's duly authorized agent or representative • The date in which the note is issued • Unless the note is issued in respect of a patronage dividend or for a total amount that includes both the consideration and the tax for more than one supply, the amount of the adjustment, refund or credit of tax for which the note is issued.

Sequential numbering

Separate sequential credit note numbering required	• No
Allowed to issue one credit note to correct different invoices	• Yes, If the refund, adjustment, or credit of the tax relates to more than one invoice, the note should indicate the dates of the first and last invoices issued

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

No explicit requirements in Canada.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• At least an AES recommended • There are no explicit requirements but recommended to keep evidence of integrity and authenticity for retention.

Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements but strongly recommended
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate • The source file based on which the Tax e-Invoice has been created

Requirements to present stored documents in a specific audit format	• An e-record is any information recorded in an electronically readable format. It means information supported by a system capable of producing an accessible and useable copy.
	  o Taxpayer must provide an acceptable copy of the electronic records in an electronically readable and useable format to CRA auditors to permit them to process and analyze the electronic records on CRA equipment.
	  o A copy is useable if the electronic records can be processed and analyzed with CRA software.
	  o The useable copy must be in a non-proprietary, commonly used data interchange format that is compatible with CRA software.
	  o Electronic files retained in an encrypted or proprietary backup format must be able to be restored at a later date to an accessible and useable state to meet CRA requirements

Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required

Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[9]	• 6 years
Start point of retention period calculation for invoices not related to immovable property	• From the end of the latest year to which they relate
Retention period for e- invoices related to immovable property	• 6 years
Start point of retention period calculation for invoices related to immovable property	• From the start of the reporting period in which transaction occurred and should have been reported • If the real property transaction was not reported, e.g., due to error, then it is a good practice to retain records for longer, e.g., 6 years from the time the transaction is reported
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a.
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a.
Outsourced archiving	• Allowed
Archiving abroad[10] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Need permission from CRA to store records outside of Canada. Electronic records are accepted if the Minister is satisfied that they are true copies of original documents.
Other requirements in relation to electronic document retention	• Agreements, credit notes and any other documents validly issued by a registrant supporting a particular transaction should also be archived

[9] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)
[10] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, see section 10.2 further
Transportation documents	• No explicit requirements
Other	• N.a

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

Buyandsell.gc.ca is a website managed by Public Services and Procurement Canada and contains all Government of Canada tenders. Suppliers can provide goods and services to federal departments and agencies via this website.

Businesses can register as a supplier of goods and services with Buyandsell.gc.ca. They will receive a 15-digit Procurement Business Number (PBN), based on their BN, which Buyandsell.gc.ca gets from the CRA and emails to the vendor. However, the business must first get a BN from the CRA.

Buyandsell.gc.ca is for

- Canadian Businesses that want to supply goods and services to the government
- Government buyers and materiel managers
- Government of Canada procurement specialists

10.2. Indirect tax reports

Canadian government allows corporation to file their business tax return electronically but not mandatory **except for the registrants below**

Situation	Other conditions
GST/HST registrants that are builders (including charity)	• Registrants that are required to report recaptured input tax credits (RITCs) • Registrants that are claiming for a provincial transitional new housing rebate (either a rebate that the builder is entitled to claim or a rebate that is assigned to the builder by a purchaser who is entitled to claim the rebate)

	• Registrants that are required to report a transitional tax adjustment amount • Registrants that sell grandparented housing where the total consideration for the sale is CAD 450,000 or more, including consideration for any other taxable supply made to the person of an interest in the grandparented housing • Registrants who sell housing that is subject to the HST where the registrant purchased the housing on a grandparented basis
GST/HST registrants that are not builders	• You are not a charity and you have more than CAD 1.5 million in annual taxable supplies • Registrants that are required to recapture input tax credits for the provincial part of the HST

The meaning of grandparented housing unit differs depending on the participating province (Ontario, Nova Scotia, Prince Edward Island, New Brunswick, and Newfoundland and Labrador) in which the housing unit is situated. Please refer to the Definition of grandparented housing unit.

There are four e-filing options that can be used to file a GST/HST return

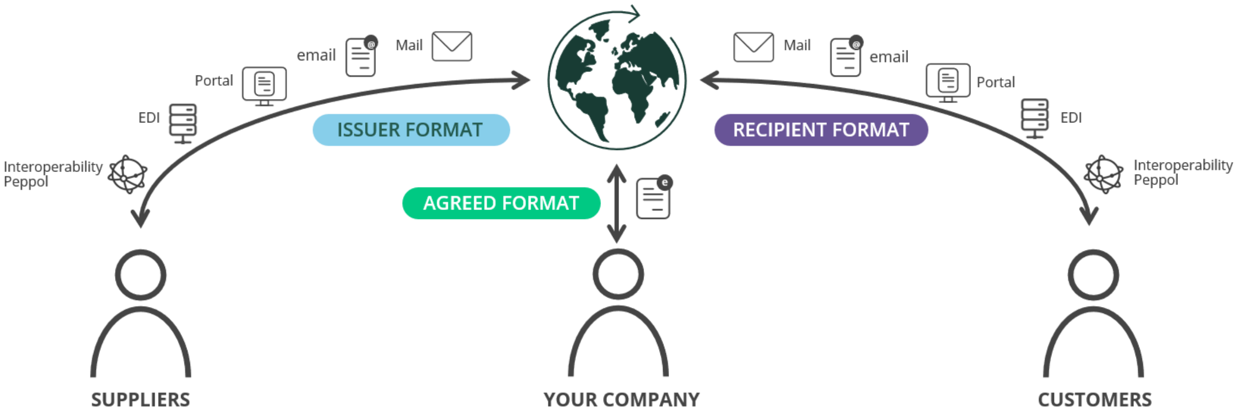
- **GST/HST NETFILE** is an Internet-based filing service that allows registrants to file their GST/HST returns and eligible rebates directly to the CRA over the Internet.
- **GST/HST Electronic Data Interchange (EDI)** is a computer-to-computer exchange of information in a standard format.
- **GST/HST Internet File Transfer (GIFT)** is an option that allows eligible registrants to file their returns electronically over the Internet using CRA-approved 3rd party accounting software
- **GST/HST Telefile** is a method that allows eligible registrants to file their GST/HST returns using their four-digit access code, a touch-tone telephone, and the toll-free number 1-800-959-2038.

There will be certain cases for when GST/HST registrant builders will have to do the e-filing just by **GST/HST NETFILE** means, other cases where they will have to do it by **GST/HST NETFILE** or **GST/HST TELEFILE** means, and other cases where they will have to do it by **GST/HST NETFILE, GST/HST TELEFILE, EDI** or **GIFT** means. Click here to see the details.

11. Country-specific processing

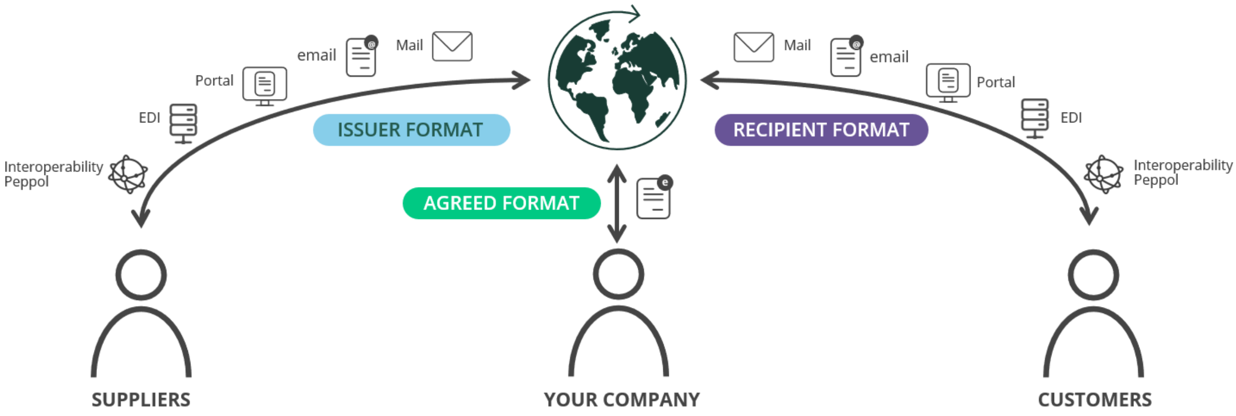
This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
(2) PAGERO ensures the customer-specific document content, document integrity and authenticity, as well as archiving requirements
(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

11.2. Document reception (AP) with Pagero



(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
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(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, data capturing / scanning, etc.

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero’s Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero’s prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero’s Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
01 August 2017	• Document created
09 September 2020	• Updated section 5.4 on GST Number format
02 November 2020	• Updated to V3 CCR • Updated with latest Deloitte VAT Tool info
11 June 2021	• Updated contents • Added regulations for public procurement and cross-board orders.
31 January 2022	• Section 6.3: Differentiation of QST from GST
08 July 2022	• Updated section 10.2 Indirect tax report, 8 Document Retention, 6.5 Simplified Invoice